

SUSTAINABILITY DISCLOSURE



INTEGRATED ANNUAL REPORT FY2024-25

Building Responsibly

Sahyadri Cement Industries Ltd

Sahyadri Cement Industries Ltd
Pune, Maharashtra | NSE: SAHYCEM

Reporting period 1 April 2024 to 31 March 2025
BRSR Core | GRI 2021 | TCFD

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SECTION 01

01

About this report

Boundary, period, frameworks and approach

This Integrated Annual Report of Sahyadri Cement Industries Ltd brings together our financial and non-financial performance for the year from 1 April 2024 to 31 March 2025. It follows the integrated reporting approach, and tries to show how our strategy, governance, operations and the context in which we work create value over time for shareholders, employees, customers and the communities near our plants.

Scope and boundary

The report covers our four facilities: the Chandrapur Integrated Cement Plant and the Rajura Limestone Mine in Maharashtra, the Gulbarga Cement Works in Karnataka and the Raigad Grinding Unit in Maharashtra, along with our registered office in Pune. Environmental data is consolidated on an operational control basis, and social data covers permanent employees and, where stated, contract workers.

Financial data is drawn from our audited financial statements prepared under Ind AS. Non-financial data has been compiled by plant teams, reviewed by the corporate sustainability cell and, for selected BRSR Core indicators, subjected to independent assurance, as set out in the assurance section.

FRAMEWORKS AND STANDARDS APPLIED

- **SEBI BRSR and BRSR Core**, as per the circulars applicable to the top 1,000 listed entities by market capitalisation.
- **GRI Standards 2021**, in reference to GRI 1, GRI 2 and GRI 3 and the topic standards listed in the content index.
- **TCFD** recommendations on governance, strategy, risk management, and metrics and targets.
- National Guidelines on Responsible Business Conduct (NGRBC) and the nine principles they set out.
- Greenhouse Gas Protocol Corporate Standard and Scope 2 Guidance.

Navigating the report

Sections 2 to 5 describe who we are and how we choose what to focus on. Sections 6 to 15 cover the environmental, social and governance topics in turn. The BRSR Core summary, the independent assurance report, the GRI content index and the glossary follow. Cross-references in the margin notes point to related material.

An integrated report should read like one story told by one company.

Chief Financial Officer

The Board of Directors approved this report on 28 May 2025 on the recommendation of the Audit Committee. Comments and questions are welcome at the address on the back cover.

NOTES

1. Operational control: we account for 100 per cent of emissions and resource use at facilities we operate.
2. Rounding differences may arise in some tables.

SECTION 02

02 Chairman's message

Building responsibly for a growing India

Dear shareholders,

India is building at a pace the country has not seen in a generation. Roads, ports, metros, housing and data centres are rising everywhere, and each of them is made with cement. That gives our industry an extraordinary opportunity, and an equally large responsibility, because cement is also one of the hardest sectors in which to cut carbon.

Our climate work is gradual but measurable. Since FY2020 we have reduced our absolute Scope 1 emissions by 10%. We achieved this while growing output, through better kiln efficiency, higher use of alternative fuels and a shift to cleaner power.

We also made headway on the nature of our energy mix. A new waste heat recovery system at Chandrapur began contributing to our power needs, and our open access renewable contracts matured. Further capacity is being planned for the coming years, subject to regulatory approvals.

Cement will be needed for decades. Our task is to make each tonne lighter on the planet.

Chairman

Our governance of sustainability has also matured. The Board's Sustainability Committee now reviews a dashboard of environmental and social indicators each quarter, and senior management incentives include goals tied to safety, energy efficiency and alternative fuel use.

Against that backdrop, Sahyadri Cement delivered another year of steady growth. Volumes rose, margins held up despite volatile fuel prices, and our balance sheet remained strong. Beyond the numbers, I am proud of the way our people took care of one another and of our neighbours throughout the year.

I thank my colleagues on the Board, our employees, our dealers and customers, and the communities of Chandrapur, Kalaburagi and Raigad for their trust. I invite you to read this report and to tell us how we can do better.

Yours sincerely,
Ashok Deshmukh
Chairman
Pune, 28 May 2025

HIGHLIGHTS OF THE YEAR

- Higher volumes with stable profitability
- Waste heat recovery unit commissioned at Chandrapur
- Expanded use of alternative fuels and raw materials
- Further strengthening of safety governance at quarry and plant

SECTION 03

03 Company at a glance

Plants, products and markets

Rs 14,100 crore
Revenue, FY2025

12.5 MTPA
Cement capacity

8.0 MTPA
Limestone mining capacity

4
Operating facilities

Sahyadri Cement Industries Ltd is a mid-sized cement producer headquartered in Pune. We make ordinary Portland, Portland pozzolana and Portland slag cements, sold under the Sahyadri brand through a dealer network that covers Maharashtra, Karnataka, Telangana, Goa and parts of Madhya Pradesh.

Our integrated plants at Chandrapur and Gulbarga combine limestone crushing, raw grinding, pyroprocessing, cement grinding and packing. The grinding unit at Raigad serves the Konkan and Mumbai markets, drawing clinker by rail and sea from our integrated plants, and supplying a growing share of blended cements.

Operating facilities

#	Facility	Type	Location	Coordinates	Rated capacity
1	Chandrapur Integrated Cement Plant	Integrated cement plant	Chandrapur, Maharashtra	19.96 N, 79.30 E	6.5 MTPA cement
2	Gulbarga Cement Works	Integrated cement plant	Kalaburagi, Karnataka	17.33 N, 76.83 E	4.0 MTPA cement
3	Raigad Grinding Unit	Grinding unit	Raigad, Maharashtra	18.52 N, 73.18 E	2.0 MTPA cement
4	Rajura Limestone Mine	Limestone mine	Chandrapur, Maharashtra	19.78 N, 79.36 E	8.0 MTPA limestone

Coordinates are approximate and rounded to two decimals. Capacities are nameplate figures as at 31 March 2025.

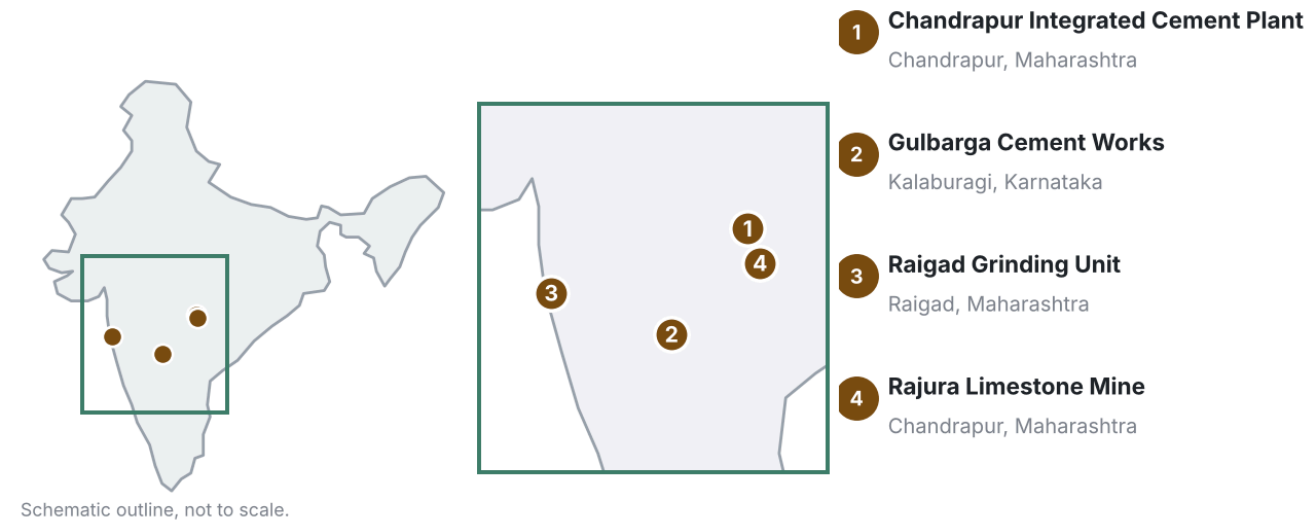


Figure 3.1 Our facilities in Maharashtra and Karnataka. Marker positions in the enlarged panel are nudged to avoid overlap.

Roughly 3,900 people work at our facilities and offices, supported by contractors in mining, packing and logistics. The company is listed on the National Stock

Exchange, and promoters hold a majority stake alongside a base of institutional and retail shareholders.

Revenue from operations

Financial year	FY20	FY21	FY22	FY23	FY24	FY25
Rs crore	9,800	9,100	11,200	12,600	13,400	14,100

Source: audited financial statements. Rs crore at current prices.

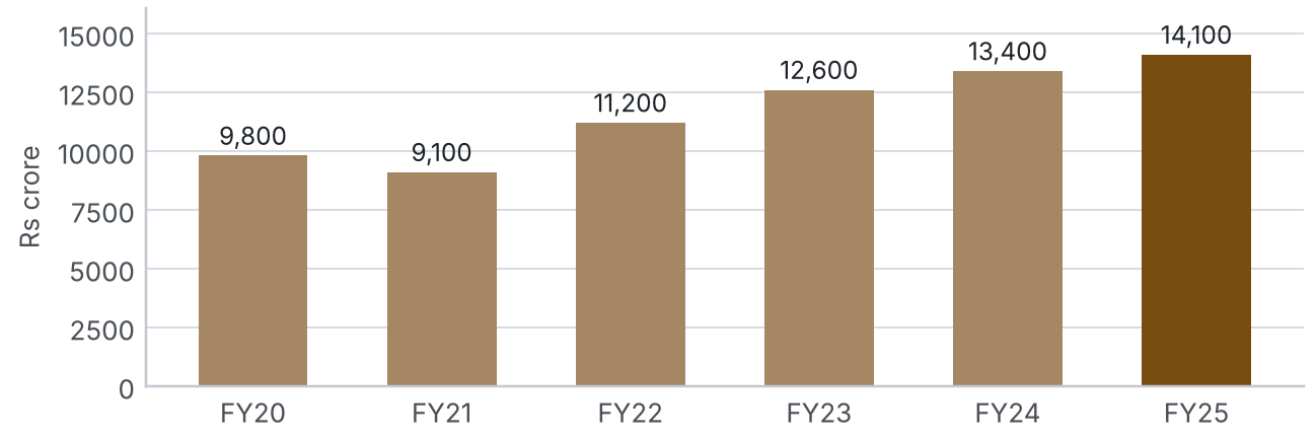


Figure 3.2 Revenue from operations, FY2020 to FY2025 (Rs crore).

WHAT WE STAND FOR

Strength, stewardship and service. These three words appear on every plant gate, and we ask ourselves each quarter whether our decisions would pass that test.

SECTION 04

04

Materiality and stakeholders

Where we focus and why

We identify material topics through a structured process, repeated every two years. In FY2025 we reviewed topics through desk research on peer disclosures and regulatory trends, workshops with functional heads, interviews with major institutional investors and large customers, and consultation with village representatives around our quarries and plants.

Each topic was rated on its potential effect on the company's financial performance and on the significance of its impacts on the economy, environment and people. The scores were moderated by the Sustainability Committee, which also decided where the line between priority and monitored topics should fall.

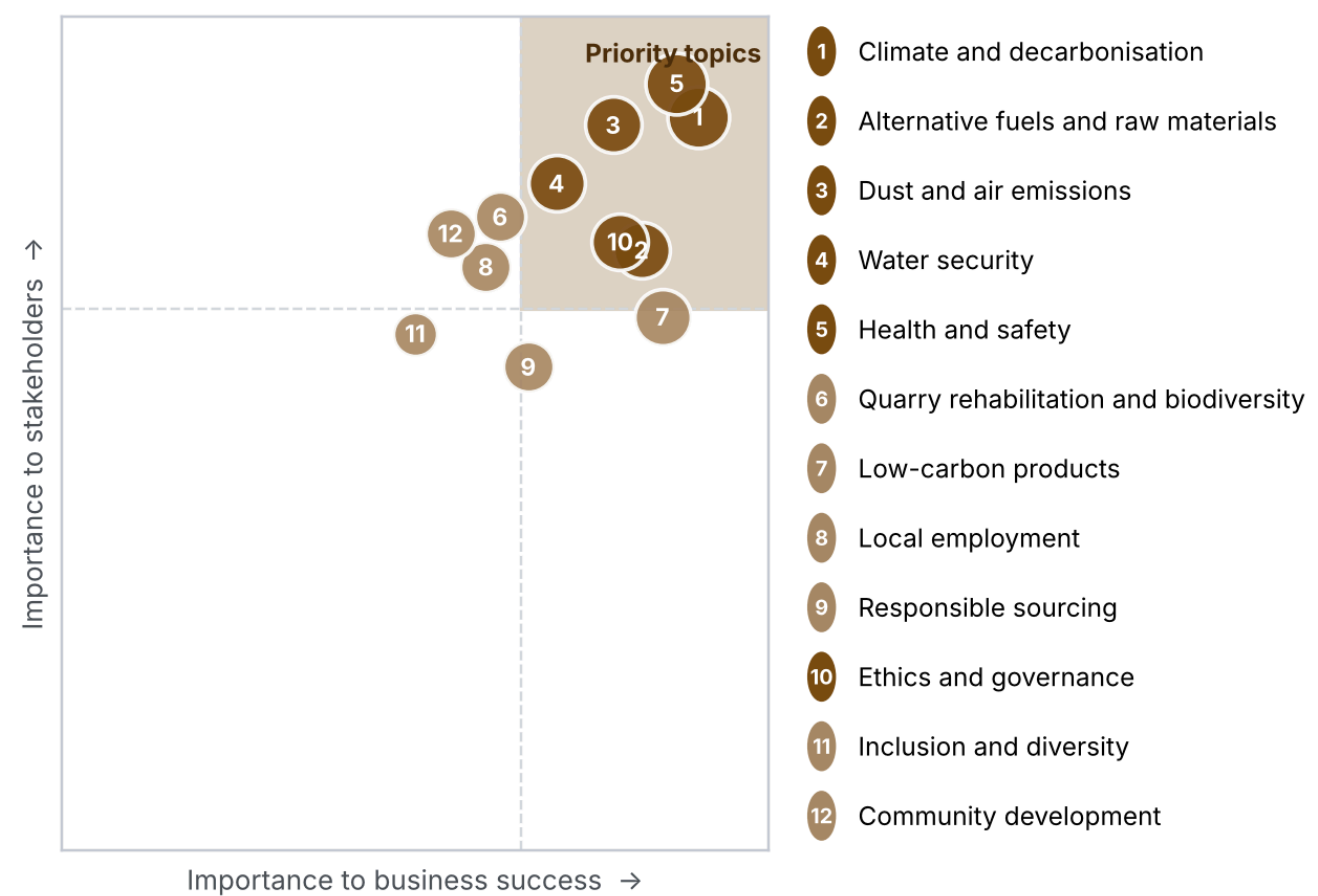


Figure 4.1 Materiality matrix. Highlighted bubbles are priority topics for management attention and disclosure.

Key takeaways

Climate and decarbonisation, health and safety, and dust and air emissions occupy the top right of the matrix. Investors added questions about low-carbon product strategy and capital allocation, while community members emphasised water access, quarry blasting and local employment.

ENGAGEMENT CALENDAR

- Quarterly results calls with analysts
- Annual dealer and contractor meets
- Monthly village liaison meetings at each plant
- Annual dialogue with regulators and industry bodies

SECTION 05

05 Strategy and targets

Four themes and a phased roadmap

Our strategy rests on a simple idea: grow the business by making better, lower-carbon cement, and make the business stronger by managing the resources it depends on with care. Four strategic themes organise our work, and each is supported by a roadmap, an owner and a set of internal indicators.

Efficient operations

Kiln stability, heat recovery, optimised grinding and predictive maintenance cut energy use and reduce variability. We use advanced process control on all

kilns and are rolling out digital twins at Chandrapur.

Cleaner inputs

We replace conventional fuels and raw materials with alternatives, including biomass, refuse-derived fuel, fly ash and slag, in partnership with municipal bodies and industrial generators.

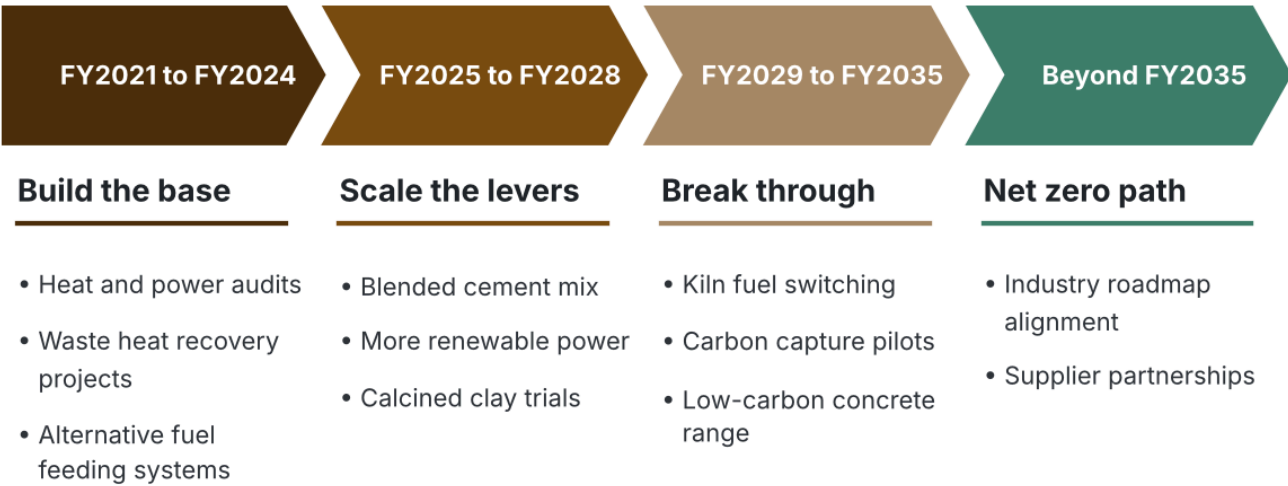


Figure 5.1 Roadmap by phase. Phases describe themes of work rather than quantified commitments.

Lower-carbon products

The largest lever in cement is the clinker content of the product. We are increasing the share of blended cements, testing calcined clay and limestone blends, and working with customers on mix design.

Responsible neighbours

Our quarries and plants sit among farms and villages. We aim to be considerate, from dust control and blast management to local hiring and water sharing.

We have also aligned our long-term ambition with that of our industry. We aim to deliver net zero concrete by 2050, in line with the GCCA roadmap. The roadmap above shows the stages through which we plan to progress, and we will report on how technology, policy and costs evolve.

CAPITAL ALLOCATION

Sustainability projects compete for capital on the same footing as other investments, with an internal shadow price for carbon applied in project appraisal.

SECTION 06

06

Climate and energy

Cutting carbon in a hard-to-abate industry

Cement manufacture releases carbon dioxide in two ways: from the burning of fuel in the kiln and from the chemical decomposition of limestone into lime. The second source, process emissions, cannot be avoided by switching fuels, which is why the industry's climate challenge is unusually hard.

Governance and risk

Climate matters are overseen by the Board's Sustainability Committee. Management has mapped transition risks such as carbon pricing, policy on blended cements and demand shifts, and physical risks, including heat and monsoon variability, to each plant. Scenario analysis informs capital plans.

Emissions

Our direct emissions have declined while volumes have grown. The chart below shows the trend in our Scope 1 emissions, which come mainly from clinker production and kiln fuel.

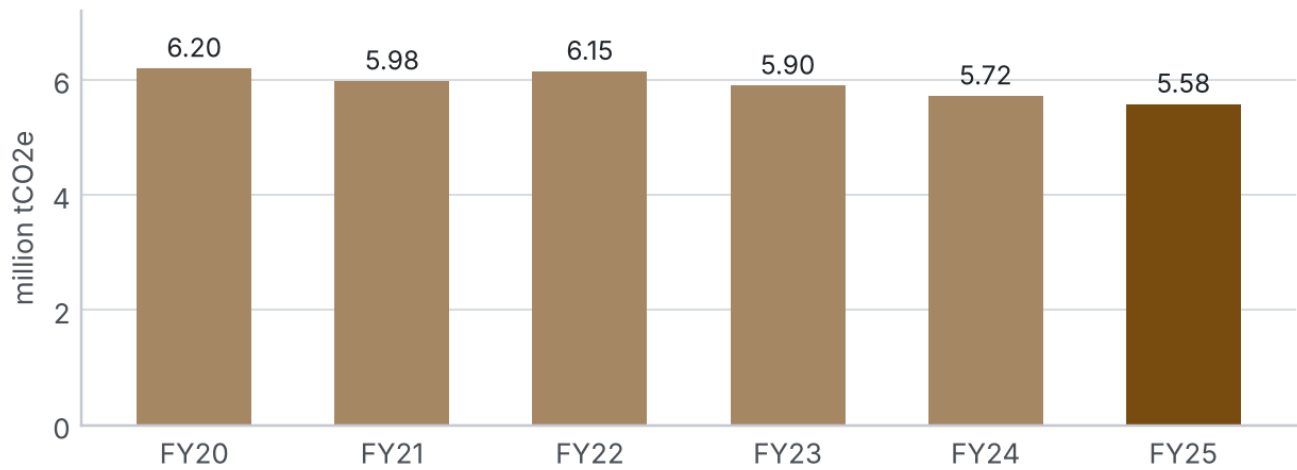


Figure 6.1 Scope 1 GHG emissions, FY2020 to FY2025 (million tCO₂e).

Clinker content is the most important determinant of cement's carbon footprint. We lowered our clinker factor to 0.68 in FY2025, among the lowest in the industry. We continue to raise the share of blended cements in our mix.

Energy

Thermal energy for the kiln and electrical energy for grinding together define our energy footprint. Waste heat recovery, high-efficiency fans and mills, and

variable speed drives have reduced the electricity we draw per tonne of cement.

Renewable power, including waste heat recovery, met 26% of our electricity needs in FY2025. The waste heat recovery system at Chandrapur was a significant contributor, supplemented by open access wind and solar power.

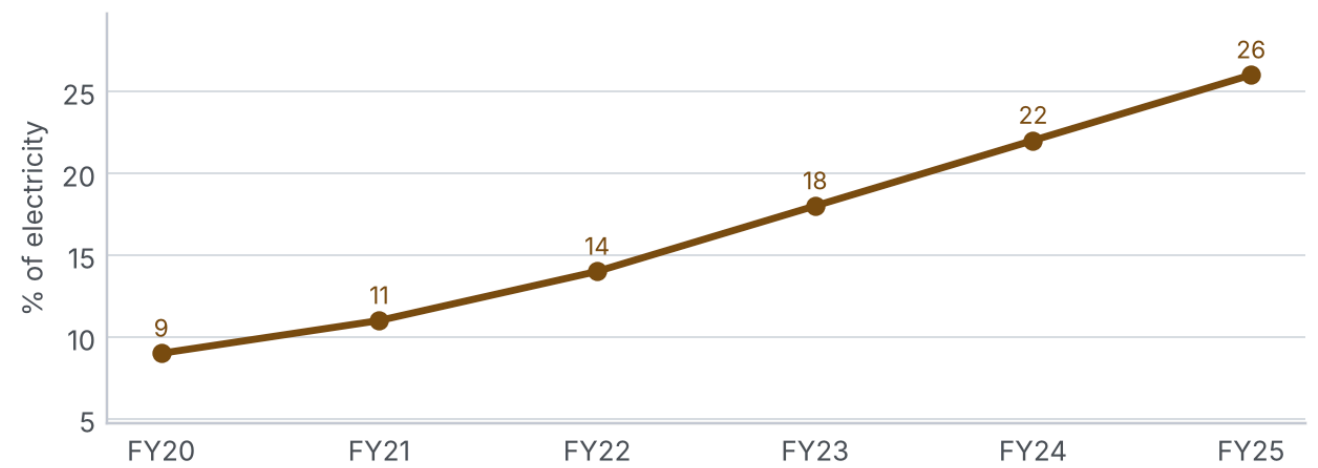


Figure 6.2 Renewable share of electricity consumed, FY2020 to FY2025 (per cent).

DECARBONISATION LEVERS

- Alternative fuels and raw materials
- Blended cement and calcined clay
- Waste heat recovery and efficient equipment
- Renewable power and storage
- Carbon capture, utilisation and storage pilots

NOTES

1. Scope 1 includes process and fuel emissions of the integrated plants, calculated using the GCCA Cement CO2 and Energy Protocol.
2. Renewable share includes waste heat recovery as per the company's reporting policy, which is disclosed in the basis of preparation.

SECTION 07

07 Water

Using less and giving back to the catchment

Cement is not a water-intensive industry compared with many others, but our plants operate in regions that are vulnerable to drought, notably in Vidarbha and north Karnataka. Water is central to our social licence, and we pursue a policy of reducing freshwater use, recycling and harvesting rainwater at every site.

Efficiency and reuse

Process water is recirculated through cooling towers and settling ponds. Treated sewage from our colonies is used for dust suppression and horticulture, and plants operate with minimal liquid discharge. Dry process kilns and air-cooled equipment reduce water needs from the outset.

We also invest in harvesting and recharge beyond our boundaries. Through rainwater harvesting we replenished 2.1 times the water we consumed, making us water positive. The programme includes mine pit storage, check dams, farm ponds and roof-top harvesting in plant colonies.

WATER PROGRAMMES

- Quarry pit rainwater storage for plant and community use
- Check dams and farm ponds in partnership with village committees
- Groundwater level monitoring around Chandrapur and Gulbarga
- Water literacy sessions in schools

Our quarry at Rajura collects significant rainfall in worked-out pits, and the water is used for dust suppression and offered to neighbouring farmers during the lean season. Independent hydrogeologists review the impact of dewatering on nearby wells each year.

We are building a basin-level view of water risk using public datasets and our own measurements, and intend to disclose more about site-level water balances in coming reports.

SECTION 08

08

Waste and circularity

Co-processing as a service to society

Cement kilns are well suited to recover value from waste. Operating at very high temperatures with long residence times, they can destroy organic compounds

and incorporate mineral residues in clinker without generating additional ash. This is called co-processing, and it is an important part of our strategy.

We source alternative fuels and raw materials from industry, agriculture and municipal systems. We co-processed and recovered 1.8 lakh tonnes of waste in FY2025. The tonnage reflects both agricultural biomass and industrial residues such as fly ash and slag.

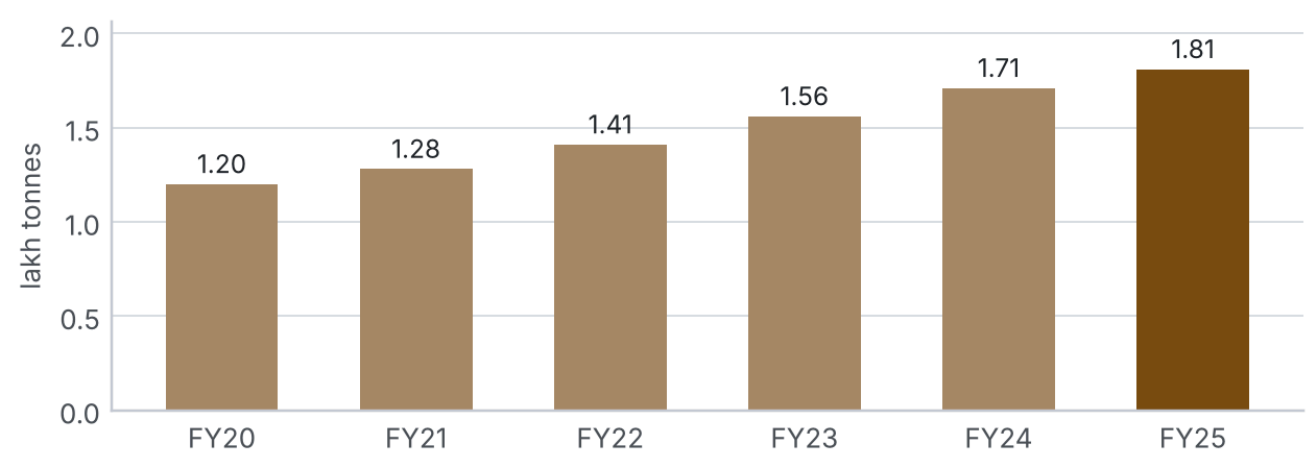


Figure 8.1 Waste co-processed and recovered, FY2020 to FY2025 (lakh tonnes).

Waste co-processed and recovered

Indicator	FY20	FY21	FY22	FY23	FY24	FY25
Lakh tonnes	1.20	1.28	1.41	1.56	1.71	1.81

Quantities are weighed at the receiving point. One lakh equals 100,000.

How co-processing works

Wastes arrive after pre-processing and testing against acceptance criteria. Combustible wastes are fed into the kiln burner or calciner, and mineral wastes into the raw mill or cement mill. Continuous monitoring ensures that stack emissions stay within norms and that clinker quality is unaffected.

WASTE PARTNERS

We work with municipal corporations, industrial parks, power plants and biomass aggregators. A dedicated team vets each source for composition, hazard and consistency before approval.

Our own waste is also managed through reduction and reuse. Kiln dust is recycled into the process, packaging residues are returned to authorised recyclers, and used oil is sent to registered re-refiners.

SECTION 09

09 Biodiversity and land

Responsible quarrying and rehabilitation

Limestone quarrying changes landscapes. Our task is to limit that change, rehabilitate land as we go and protect the plants and animals that share it. Rajura is our

principal quarry, in a mixed landscape of farms and scrub near the Wardha valley.

We watch the land around our mine closely. Our Rajura limestone mine recorded no forest loss within its 5 km buffer zone during FY2025. We use satellite alerts alongside field visits to confirm this and to detect any changes early.

Rehabilitation

Quarry rehabilitation follows a plan approved with the mine closure plan. Overburden is used to backfill worked-out areas where feasible, topsoil is stored for reuse, and benches are planted with native species in consultation with the Forest Department.

Around the plants, we maintain green belts, protect natural drainage lines and avoid works during nesting seasons wherever practical. Blasting is carefully controlled to limit vibration and noise.

We are beginning to assess our nature-related dependencies and impacts using the TNFD LEAP approach, starting with the Chandrapur cluster, and will share findings as the work advances.

NATURE INITIATIVES

- Native species nursery near Rajura
- Green belt around plants
- Pond and wetland restoration
- Bird and butterfly monitoring with local naturalists

SECTION 10

10 Air quality and compliance

Controlling dust and meeting our obligations

Dust is the most visible environmental impact of cement making, and the one our neighbours care about most. Our plants are equipped with bag filters, electrostatic precipitators and enclosed conveyors, and we monitor stack and ambient air quality continuously and report the data to the regulators.

Monitoring

Continuous emission monitoring systems at kilns, coolers and mills measure particulate matter, sulphur dioxide and nitrogen oxides, and the data stream is accessible to the Central and State Pollution Control Boards. Ambient stations in and around the plant and in nearby villages give an independent view.

We report on our emission performance in plain terms. Our continuous emission monitoring systems recorded zero exceedances in FY2025.

Regulatory compliance

Compliance with the conditions of our consents and clearances is central to our licence to operate. No regulatory penalties or closure directions were issued against any of our plants in FY2024-25.

DUST CONTROL MEASURES

- Covered raw material storage and enclosed transfer points
- Paved haul roads with sprinkling and sweeping
- Wheel washing at plant exits
- Bag filter replacement planned ahead of failure

Our legal compliance system tracks obligations by plant and quarry, assigns owners and escalates overdue items. Regular third-party audits test the system. We share learnings from near-misses across plants so that fixes are made once and applied everywhere.

In recent years we have invested in upgrading dust collection at older units and in more reliable instrumentation, because accurate measurement is the basis for good control.

SECTION 11

11 People and safety

Looking after the people behind every bag of cement

Cement plants and quarries combine heavy machinery, high temperatures and vehicle movements. The safety of employees and contractors is our first priority, and we expect every leader to be visible, curious and consistent on safety.

Safety management

Our management system is aligned to ISO 45001. Contractors are inducted and assessed before work starts, permit-to-work procedures cover high-risk jobs, and each plant has a safety committee with worker representation. We use leading indicators such as near-miss reports, safety observations and closure of audit actions to detect problems before they cause injuries.

We communicate openly about outcomes. Our LTIFR improved from 0.52 in FY2020 to 0.30 in FY2025.

SAFETY INITIATIVES

- Vehicle movement control and speed management in quarries
- Machine guarding and lock-out tag-out audits
- Safety leadership programme for plant heads and supervisors
- Driver training for bulk cement transporters

Health and wellbeing

Occupational health centres provide periodic medical examinations, noise and dust exposure screening, and emergency care. Wellness programmes address

nutrition, fitness and stress, and employees can access confidential counselling.

Learning and development

We invest in technical training on kiln operation, grinding, maintenance and electrical systems. A trainee engineers programme, an apprenticeship scheme with industrial training institutes and online learning modules support career growth. Job rotation across plants builds versatility.

Industrial relations at our plants are cooperative. We recognise union representation where applicable, hold regular consultations and settle wages through negotiation.

SECTION 12

12 Diversity and inclusion

A workplace open to more people

Our policy on equal opportunity commits us to hiring, paying and promoting people on merit, to a workplace free from harassment and to reasonable accommodation

for people with disabilities. Cement has traditionally had few women in its workforce, and we are working to change that, starting with the pipeline.

We track how earnings are shared across our workforce as one indicator of progress. The share of gross wages paid to women has doubled since FY2022.

Hiring and development

Campus recruitment now includes engineering and management institutes with strong women enrolment. Shop floor opportunities in control rooms, laboratories, and packing and dispatch are being opened up with suitable training and infrastructure changes such as rest rooms and safe transport.

We also take care to include local communities in our workforce. Pre-employment training for youth from villages near our plants has helped hundreds of them find work with us and our contractors.

Inclusion is also a matter of respect in everyday behaviour, and our code of conduct training deals with it directly. Managers are expected to listen, to challenge bias and to make sure that every voice is heard.

INCLUSION AT WORK

- Mentoring for women engineers in their first three years
- Flexible working and return-to-work support
- Internal Committee under the POSH Act, with annual awareness sessions
- Accessible infrastructure at offices and plants

SECTION 13

13

Community development

Working with our neighbours

The villages around our plants have lived with limestone quarries and cement for decades. Our relationship with them is long and, we hope, mutually beneficial. We support communities through a CSR programme designed with village representatives, and by providing employment and business opportunities close to our sites.

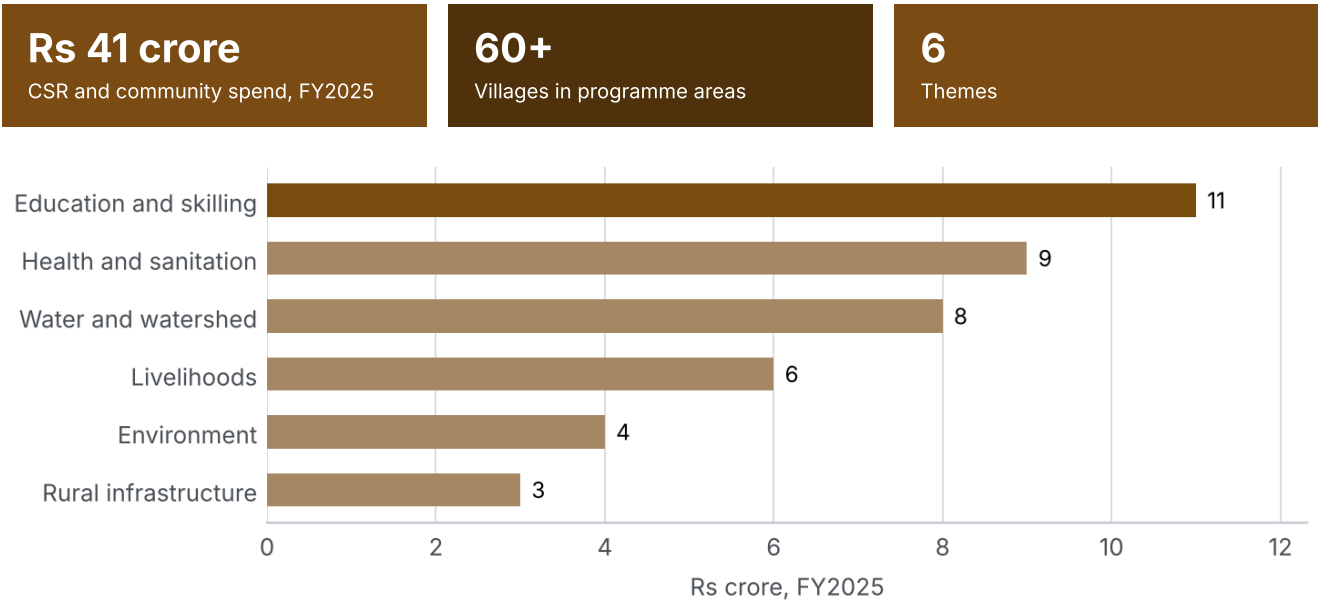


Figure 13.1 CSR spend by theme, FY2025 (Rs crore).

Education

We support government schools with classrooms, science laboratories and teachers' training, and run a scholarship programme for girls from nearby villages. Vocational courses train youth in welding, electrical work and heavy vehicle driving.

Water and livelihoods

Check dams, farm ponds and drip irrigation help farmers near the Rajura quarry to take a second crop. Self-help groups of women receive training and seed

capital for small enterprises such as dairy, tailoring and food processing.

Health

Mobile medical vans and health camps provide check-ups, eye care and referral support. We run awareness campaigns on hygiene and nutrition with local health workers.

COMMUNITY VOICE

Each plant holds monthly meetings with sarpanchs and village committees. Grievances are logged, assigned and reported back at the next meeting.

NOTES

1. CSR spend figures are as reported by the CSR Committee.
2. Village counts are approximate.

SECTION 14

14 Governance and ethics

Board oversight, conduct and risk

Our Board has eleven directors, of whom six are independent, and includes two women. The Chairman is a non-executive director, and the roles of Chairman and Managing Director are held by different people. Directors are chosen for their experience in industry, finance, engineering, law and public policy.

Committees

The Audit Committee, the Nomination and Remuneration Committee, the Stakeholders Relationship Committee, the Corporate Social Responsibility Committee, the Risk Management Committee and the Sustainability Committee assist the Board. The Sustainability Committee, chaired by an independent director, reviews our ESG strategy, risks and disclosures.

ETHICS AT SAHYADRI

- Code of Conduct signed annually by employees
- Anti-bribery and anti-corruption policy covering third parties
- Whistle-blower mechanism with independent ethics hotline
- Related party transaction policy reviewed by the Audit Committee

Risk management

The enterprise risk framework covers strategic, operational, financial, regulatory and ESG risks. Risk owners assess likelihood and impact, and top risks are reviewed by the Risk Management Committee each quarter. Climate, safety, water and community risks are included in the register alongside fuel prices, regulatory changes and counterparty exposure.

The company has policies on human rights, data privacy, responsible advocacy, tax and conflict of interest. We do not make political contributions. We participate in the work of industry bodies, including the Cement Manufacturers' Association, and disclose our positions on public policy.

Executive remuneration includes a variable component linked to financial and non-financial goals, including safety, energy and environmental measures, as approved by the Nomination and Remuneration Committee.

SECTION 15

15 Supply chain and customers

Local sourcing and responsible products

Cement is a local business. Limestone comes from our own quarry, gypsum and coal from regional sources, fly ash and slag from nearby power and steel plants, and our products travel mostly by road and rail to markets within a few hundred kilometres. That gives us the chance to work closely with suppliers and to support small enterprises near our plants.

Sourcing standards

Our Supplier Code of Conduct sets expectations on legal compliance, labour practices, health and safety, environmental management and ethics. Key suppliers and transporters are assessed on these criteria before onboarding and periodically thereafter.

SUPPLIER ENGAGEMENT

- Transporter safety training and vehicle audits
- Digital tracking of deliveries to reduce idling and waiting
- Prompt payments for small suppliers
- Preference to local contractors for services

Customers and product responsibility

We are working with architects, builders and ready-mix producers on mix designs that deliver the same strength with less cement, and on durability, which extends the life of structures. Technical support teams visit sites to advise on curing, storage and handling. Product quality is controlled through accredited laboratories and national standards.

Logistics

Rail dispatches from Chandrapur and Gulbarga reduce road traffic and associated emissions. Bulk cement tankers and rakes are increasingly used, cutting packaging waste. We continue to explore coastal shipping for the Konkan markets.

Value chain emissions are an area where we are still building capability, and we intend to expand data collection from suppliers in coming years.

SECTION 16

16

BRSR Core summary

Selected indicators, FY2023 to FY2025

This summary presents selected BRSR Core indicators for the last three financial years. The statutory BRSR filed with the stock exchanges contains the full set of

indicators in the prescribed format.

BRSR Core summary: selected indicators

Attribute	Indicator	Unit	FY23	FY24	FY25
Economic	Revenue from operations	Rs crore	12,600	13,400	14,100
GHG footprint	Total Scope 1 emissions	tCO2e	59,00,000	57,20,000	55,80,000
Energy footprint	Share of electricity from renewable sources	%	18.0	22.0	26.0
Circularity	Waste co-processed and recovered	tonnes	1,56,000	1,70,500	1,81,200
Openness	Type of assurance on BRSR Core	Category	Limited	Reasonable	Reasonable

Definitions follow SEBI's BRSR Core framework. Assurance provider for FY2023 to FY2025: Mehta Kulkarni & Co, Chartered Accountants.

The nine BRSR Core attributes cover greenhouse gas, water and energy footprints, circularity, employee wellbeing and safety, gender diversity, inclusive development, fairness to customers and suppliers, and openness of business. The indicators above are those for which we present comparable multi-year series in this report.

BASIS OF PREPARATION

- Boundary as per the section on scope
- Renewable share includes waste heat recovery under company policy
- Waste co-processed covers alternative fuels and raw materials received from third parties
- Figures rounded where indicated

Further indicators, including water, safety and workforce measures, are provided in the statutory BRSR filing and discussed in the relevant sections of this report.

NOTES

1. See SEBI circular dated 12 July 2023 on BRSR Core.
2. Prior-year values have not been restated.

SECTION 17

17 Assurance and reporting integrity

Controls and independent review

Our reporting process is led by the Chief Financial Officer, with the corporate sustainability cell consolidating data submitted by plant teams. Each plant

head certifies submissions quarterly. Internal audit tests controls over a sample of indicators each year.

We have progressively extended the level of external assurance on our non-financial reporting. Our BRSR Core indicators for FY2025 were subject to reasonable assurance. The independent assurer's report follows this section.

Scope of assurance

Assurance covers the BRSR Core indicators for FY2025 as filed. Mehta Kulkarni & Co, Chartered Accountants, performed the engagement, visiting the Chandrapur and Gulbarga plants and the Rajura mine, reviewing source records and re-performing selected calculations.

OUR REPORTING CONTROLS

- Plant data certification each quarter
- Reconciliation with commercial records
- Annual internal audit of selected indicators
- Audit Committee review before publication

The observations of the assurer, including suggestions to improve data capture for alternative fuels and to document estimation methods, have been shared with management and an action plan has been agreed.

SECTION 18

18 Independent assurance report

Reasonable assurance on selected BRSR Core indicators

Independent Assurer's Reasonable Assurance Report

To the Board of Directors of Sahyadri Cement Industries Ltd

We, Mehta Kulkarni & Co, were engaged by the management of Sahyadri Cement Industries Ltd (the "Company") to perform a reasonable assurance engagement on the selected BRSR Core indicators set out in the Company's report for the year ended 31 March 2025 (the "Subject Matter Information").

Management's responsibility. The Company's management is responsible for the preparation of the Subject Matter Information in accordance with the SEBI BRSR Core framework and the criteria described in the reporting boundary, and for the design and maintenance of internal controls relevant to that preparation.

Our responsibility. Our responsibility is to express a reasonable assurance opinion on the Subject Matter Information based on our work, which we performed in accordance with the Standard on Assurance Engagements (SAE) 3000 (Revised) and, for greenhouse gas indicators, SAE 3410, issued by the Institute of Chartered Accountants of India. The engagement covered the BRSR Core indicators for the year ended 31 March 2025 as presented in the Company's filing.

Procedures. Our procedures included inquiries of personnel responsible for data collection, site visits to selected facilities, inspection of source records and calculation workbooks, re-performance of calculations on a sample basis, and evaluation of the appropriateness of the reporting criteria and the disclosures in this report.

Opinion. In our opinion, the Subject Matter Information for the year ended 31 March 2025 has been prepared, in all material respects, in accordance with the applicable criteria.

Independence and quality control. We have complied with the independence and other ethical requirements of the Code of Ethics issued by the Institute of Chartered Accountants of India and apply a system of quality management that includes documented policies on ethical requirements and professional standards.

Mehta Kulkarni & Co

Chartered Accountants, Firm Registration No. 112233W

CA Prakash Mehta, Partner

Pune, 30 May 2025

SECTION 19

19 GRI content index

Where to find each disclosure

Statement of use. Sahyadri Cement Industries Ltd has reported the information cited in this GRI content index for the period 1 April 2024 to 31 March 2025 with reference to the GRI Standards.

GRI content index

Disclosure	Title	Location in this report	Status
2-1	Organizational details	Section 03	Reported
2-2	Entities included in sustainability reporting	Section 01	Reported
2-3	Reporting period, frequency and contact point	Section 01	Reported
2-4	Restatements of information	Section 01	Reported
2-5	External assurance	Section 17	Reported
2-6	Activities, value chain and other business relationships	Section 03	Reported
2-7	Employees	Section 11	Reported
2-8	Workers who are not employees	Section 11	Reported
2-9	Governance structure and composition	Section 14	Reported
2-10	Nomination and selection of the highest governance body	Section 14	Reported
2-11	Chair of the highest governance body	Section 14	Reported
2-12	Role of the highest governance body in overseeing impacts	Section 14	Reported
2-13	Delegation of responsibility for managing impacts	Section 14	Reported
2-14	Role of the highest governance body in sustainability reporting	Section 14	Reported
2-15	Conflicts of interest	Section 14	Reported
2-16	Communication of critical concerns	Section 14	Reported
2-17	Collective knowledge of the highest governance body	Section 14	Reported
2-18	Evaluation of the performance of the highest governance body	Section 14	Reported
2-19	Remuneration policies	Section 14	Reported
2-20	Process to determine remuneration	Section 14	Reported
2-22	Statement on sustainable development strategy	Section 02	Reported
2-23	Policy commitments	Section 14	Reported
2-24	Embedding policy commitments	Section 14	Reported
2-25	Processes to remediate negative impacts	Section 14	Reported
2-26	Mechanisms for seeking advice and raising concerns	Section 14	Reported
2-27	Compliance with laws and regulations	Section 10	Reported
2-28	Membership associations	Section 14	Reported
2-29	Approach to stakeholder engagement	Section 04	Reported
2-30	Collective bargaining agreements	Section 11	Reported
3-1	Process to determine material topics	Section 04	Reported
3-2	List of material topics	Section 04	Reported
3-3	Management of material topics	Section 05	Reported
201-1	Direct economic value generated and distributed	Section 03	Reported
201-2	Financial implications and other risks and opportunities due to climate change	Section 06	Reported
203-1	Infrastructure investments and services supported	Section 13	Reported
203-2	Significant indirect economic impacts	Section 13	Reported
204-1	Proportion of spending on local suppliers	Section 15	Reported
205-1	Operations assessed for risks related to corruption	Section 14	Reported
205-2	Communication and training about anti-corruption policies	Section 14	Reported

Disclosure	Title	Location in this report	Status
205-3	Confirmed incidents of corruption and actions taken	Section 14	Reported
206-1	Legal actions for anti-competitive behaviour	Section 14	Reported
301-1	Materials used by weight or volume	Section 08	Reported
301-2	Recycled input materials used	Section 08	Reported
302-1	Energy consumption within the organization	Section 06	Reported
302-3	Energy intensity	Section 06	Reported
302-4	Reduction of energy consumption	Section 06	Partial
303-1	Interactions with water as a shared resource	Section 07	Reported
303-2	Management of water discharge-related impacts	Section 07	Reported
303-3	Water withdrawal	Section 07	Partial
303-4	Water discharge	Section 07	Partial
303-5	Water consumption	Section 07	Partial
304-1	Operational sites in or adjacent to protected areas	Section 09	Reported
304-2	Significant impacts of activities on biodiversity	Section 09	Reported
304-3	Habitats protected or restored	Section 09	Partial
304-4	IUCN Red List species in areas affected by operations	Section 09	Partial
305-1	Direct (Scope 1) GHG emissions	Section 06	Reported
305-2	Energy indirect (Scope 2) GHG emissions	Section 06	Reported
305-3	Other indirect (Scope 3) GHG emissions	Section 15	Partial
305-4	GHG emissions intensity	Section 06	Reported
305-5	Reduction of GHG emissions	Section 06	Reported
305-7	Nitrogen oxides, sulfur oxides and other significant air emissions	Section 10	Reported
306-1	Waste generation and significant waste-related impacts	Section 08	Reported
306-2	Management of significant waste-related impacts	Section 08	Reported
306-3	Waste generated	Section 08	Reported
306-4	Waste diverted from disposal	Section 08	Reported
306-5	Waste directed to disposal	Section 08	Reported
308-1	New suppliers screened using environmental criteria	Section 15	Reported
401-1	New employee hires and employee turnover	Section 11	Reported
401-2	Benefits provided to full-time employees	Section 11	Reported
401-3	Parental leave	Section 12	Reported
403-1	Occupational health and safety management system	Section 11	Reported
403-2	Hazard identification, risk assessment and incident investigation	Section 11	Reported
403-3	Occupational health services	Section 11	Reported
403-4	Worker participation, consultation and communication on OHS	Section 11	Reported
403-5	Worker training on occupational health and safety	Section 11	Reported
403-6	Promotion of worker health	Section 11	Reported
403-7	Prevention and mitigation of OHS impacts linked by business relationships	Section 11	Reported
403-8	Workers covered by an OHS management system	Section 11	Reported
403-9	Work-related injuries	Section 11	Reported
403-10	Work-related ill health	Section 11	Reported
404-1	Average hours of training per year per employee	Section 11	Reported
404-2	Programs for upgrading employee skills	Section 11	Reported
405-1	Diversity of governance bodies and employees	Section 12	Reported
405-2	Ratio of basic salary and remuneration of women to men	Section 12	Reported
406-1	Incidents of discrimination and corrective actions taken	Section 12	Reported
407-1	Operations and suppliers at risk for freedom of association	Section 15	Reported

Disclosure	Title	Location in this report	Status
408-1	Operations and suppliers at risk for child labour	Section 15	Reported
409-1	Operations and suppliers at risk for forced labour	Section 15	Reported
413-1	Operations with local community engagement	Section 13	Reported
413-2	Operations with significant negative impacts on local communities	Section 13	Reported
414-1	New suppliers screened using social criteria	Section 15	Reported
415-1	Political contributions	Section 14	Reported
416-1	Assessment of health and safety impacts of product and service categories	Section 03	Reported
417-1	Requirements for product and service information and labelling	Section 03	Reported
418-1	Substantiated complaints concerning breaches of customer privacy	Section 14	Reported

GRI 1: Foundation 2021, GRI 2: General Disclosures 2021 and GRI 3: Material Topics 2021 apply to all rows. Sector-specific standards are not yet available for our sector.

SECTION 20

20 Glossary

Terms and abbreviations

BRSR

Business Responsibility and Sustainability Report, the disclosure format prescribed by SEBI for listed entities in India.

BRSR Core

The subset of BRSR indicators, across nine ESG attributes, that is subject to assurance and value chain disclosure.

Calcined clay

Clay heated to make it reactive, used as a partial substitute for clinker.

Clinker

The intermediate product of the kiln, ground with gypsum and other materials to make cement.

Co-processing

Use of waste materials as fuel or raw material in cement kilns.

CPCB

Central Pollution Control Board, the statutory body under the Ministry of Environment, Forest and Climate Change.

CSR

Corporate social responsibility, spending governed by Section 135 of the Companies Act, 2013.

ESG

Environmental, social and governance.

FY2025

The financial year from 1 April 2024 to 31 March 2025.

GCCA

Global Cement and Concrete Association.

GHG

Greenhouse gases, expressed as carbon dioxide equivalent (tCO₂e) using IPCC AR6 warming potentials unless noted.

GRI

Global Reporting Initiative; this report is prepared with reference to the GRI Standards 2021.

Kiln

A rotary furnace in which raw meal is heated to form clinker.

Lakh

A unit of 100,000. One crore equals 100 lakh, or 10 million.

Limited assurance

A lower level of assurance, expressed as a negative-form conclusion, based on less extensive procedures.

LTIFR

Lost Time Injury Frequency Rate, the number of lost-time injuries per million person-hours worked.

MSME

Micro, small and medium enterprise, as classified under the MSMED Act, 2006.

MTPA

Million tonnes per annum.

Pozzolana

A siliceous material, such as fly ash, that reacts with lime to form cementitious compounds.

Reasonable assurance

A higher level of assurance, expressed as a positive-form opinion, with more extensive testing than limited assurance.

REC

Renewable energy certificate, a tradable instrument representing one megawatt-hour of renewable generation.

Scope 1

Direct GHG emissions from sources owned or controlled by the company.

Scope 2

Indirect GHG emissions from the generation of purchased electricity, steam, heating or cooling.

Scope 3

All other indirect GHG emissions in the value chain, upstream and downstream.

SEBI

Securities and Exchange Board of India.

TCFD

Task Force on Climate-related Financial Disclosures, whose recommendations structure our climate reporting.

tCO₂e

Tonnes of carbon dioxide equivalent.

Value chain

The activities, actors and flows upstream and downstream of a company's own operations.

WHR

Waste heat recovery, the capture of heat in kiln exhaust gases to generate electricity.

ZLD

Zero liquid discharge, a design in which treated effluent is fully recovered and reused.

SECTION 21

21 Forward-looking statements

Important notice to readers

This report contains statements about Sahyadri Cement Industries Ltd's plans, objectives, strategies, expectations and aspirations that are forward-looking in nature. Such statements are not guarantees of future performance. They reflect management's current views and assumptions as of the date of publication and are subject to risks, uncertainties and changes in circumstances that are difficult to predict. Words such as aim, expect, intend, plan, will, target and ambition identify many of these statements.

Actual outcomes may differ materially from those expressed or implied, because of factors that include changes in government policy and regulation, movements in commodity, power and fuel prices, availability of capital and technology, climatic and weather events, project approvals and construction timelines, counterparty performance, litigation, and general economic conditions in India and the markets we serve.

Data in this report has been compiled from internal systems, plant records and third-party sources. Where estimates or methodologies have been used, we have tried to say so in the notes to the relevant tables. Figures may not add up because of rounding. Past performance is not a guide to future results. Nothing in this report constitutes an offer, invitation or recommendation to buy or sell securities, and readers should not rely on it as investment, legal or tax advice.

Sahyadri Cement Industries Ltd undertakes no obligation to update any forward-looking statement, except as required by applicable law or by the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended. This publication, the company, its facilities, people, events and data are entirely fictional and have been created for an academic demonstration of ESG claim verification.



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